

Restocking and Reorder Policy

Document: MRG-POL-101 | Version: v1.0 | Effective: March 1, 2026 | Last reviewed: February 15, 2026

1. Purpose

This policy defines how reorder recommendations must be calculated, constrained, and documented for any item-store combination.

2. Scope

Applies to all Item IDs 1 through 50 across all Store IDs 1 through 10, with the exception of items on the Discontinued and Restricted Items List (MRG-POL-102), which are excluded from this policy entirely and must never be reordered.

3. Reorder Point Formula

Reorder Point = (Average Daily Sales x Supplier Lead Time in Days) + Safety Stock. Lead times by category and the safety stock formula are defined in MRG-POL-104. A reorder should be triggered when projected on-hand inventory at the end of the lead-time window falls below this value.

4. Reorder Quantity Rules

- (a) The recommended reorder quantity must not exceed the store's maximum stock capacity per item (MRG-REF-002) minus current on-hand inventory.
- (b) The recommended reorder quantity must not be lower than the supplier's minimum order quantity (MRG-POL-104). If projected need is below the minimum order quantity, hold the order and re-evaluate at the next review cycle rather than over-ordering to meet the minimum.
- (c) Items on the Discontinued and Restricted Items List (MRG-POL-102) must never appear in a reorder recommendation, regardless of forecasted demand or sales trend.

5. Mandatory Documentation

Every reorder recommendation, whether generated manually or by an automated system, must state: forecasted demand for the period, current on-hand inventory, the reorder point calculation, the recommended quantity, estimated order value, and explicit confirmation that the item does not appear on the restricted list.

6. Exceptions

Any recommendation that cannot simultaneously satisfy the capacity constraint and the minimum-order-quantity constraint must be flagged for manual review rather than submitted automatically. Approval dollar thresholds are defined separately in MRG-POL-105.

Related documents: MRG-REF-001, MRG-REF-002, MRG-POL-102, MRG-POL-104, MRG-POL-105